LANKA ORIX LEASING COMPANY PLC

INTERIM FINANCIAL STATEMENTS

THREE MONTH PERIOD ENDED 30 JUNE 2016

Lanka Orix Leasing Company PLC
Interim Financial Statements
Three month period ended 30 June 2016

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Lanka Orix Leasing Company PLC
Statement of Financial Position

Group 31-Mar-16 Rs. '000 Audited	Company 31-Mar-16 Rs. '000 Audited	*As at*	Group 30-Jun-16 Rs. '000 Un-audited	Group 30-Jun-15 Rs. '000 Un-audited Re-stated	Company 30-Jun-16 Rs. '000 Un-audited	Company 30-Jun-15 Rs. '000 Un-audited
		Assets				
13,725,794	63,407	Cash and cash equivalents	13,415,030	10,974,976	194,852	120,283
2,397,547	420,126	Trading assets - fair value through profit or loss	4,388,092	925,428	456,415	589,154
60,951,440	684,543	Investment securities	59,699,082	20,280,807	620,846	852,822
51,666,748	8,920	Finance lease receivables, hire purchases and operating leases	51,872,314	45,450,902	8,832	3,240
161,116,017	1,774,112	Advances and other loans	172,494,175	108,546,605	1,893,514	750,722
801,165	-	Insurance premium receivables	805,841	645,616	-	-
3,645,281	462,760	Inventories	3,704,577	2,354,871	487,708	30,058
1,011,854	178,334	Current tax assets	305,620	319,653	178,432	215,553
10,480,953	16,524,924	Trade and other current assets	11,189,620	9,196,375	22,162,902	11,619,647
742,535	-	Prepaid lease rentals on leasehold properties	729,687	476,330	-	-
9,073,216	353,000	Investment properties	9,148,584	9,068,166	353,000	344,000
-	-	Real estate stocks	-	-	-	-
		Biological Assets;				
6,150,990	-	Consumer Biological Assets	6,161,495	6,375,443	-	-
4,811,353	-	Bearer Biological Assets	4,823,961	4,700,775	-	-
		Investments in group of companies;				
-	42,615,931	Subsidiary companies	-	-	42,615,931	42,126,050
-	-	Jointly controlled entities	-	-	-	-
16,493,637	7,816,377	Associates	17,349,471	15,600,386	7,816,377	7,716,028
490,243	80	Deferred tax assets	379,944	386,608	67,010	149,675
2,482,046	210,021	Intangible assets	2,533,888	2,214,348	224,677	131,436
33,553,739	4,381,379	Property, plant and equipment	35,588,891	27,146,897	4,430,060	3,915,466
379,594,558	**75,493,914**	**Total assets**	**394,590,272**	**264,664,186**	**81,510,556**	**68,564,134**
		Liabilities and equity				
		Liabilities				
9,302,310	3,354,589	Bank overdrafts	7,792,857	7,709,842	2,245,482	992,880
17,859	-	Derivative liabilities	75,192	46,081	530	-
74,165,732	-	Deposits liabilities	78,382,596	55,141,629	-	-
205,774,163	35,014,816	Interest bearing borrowings	211,744,396	123,673,914	41,986,129	30,708,336
1,519,563	-	Insurance provision - life	1,643,675	883,804	-	-
2,136,529	-	Insurance provision - general	2,785,261	1,683,480	-	-
2,084,537	322,774	Current tax payables	2,383,758	1,764,774	147,271	84,839
11,572,669	1,115,435	Trade and other payables	14,605,241	9,598,656	1,058,329	1,430,907
3,930,668	-	Deferred tax liabilities	3,762,804	3,159,923	88,554	88,554
651,021	-	Deferred income	659,005	603,648	-	-
2,063,282	184,863	Retirement benefit obligations	2,052,226	2,521,663	191,075	181,555
313,218,333	**39,992,477**	**Total liabilities**	**325,887,011**	**206,787,414**	**45,717,370**	**33,487,071**
		Equity				
475,200	475,200	Stated capital (475,200,000 shares)	475,200	475,200	475,200	475,200
5,436,196	1,653,318	Reserves	5,545,384	5,235,007	1,669,773	1,857,651
31,786,984	33,372,919	Retained earnings	33,983,478	24,560,206	33,648,213	32,744,212
37,698,380	**35,501,437**	**Equity attributable to shareholders of the Company**	**40,004,062**	**30,270,413**	**35,793,186**	**35,077,063**
28,677,845	-	Non-controlling interests	28,699,199	27,606,359	-	-
66,376,225	**35,501,437**	**Total equity**	**68,703,261**	**57,876,772**	**35,793,186**	**35,077,063**
379,594,558	**75,493,914**	**Total liabilities & equity**	**394,590,272**	**264,664,186**	**81,510,556**	**68,564,134**
79.33	**74.71**	**Net assets per share (Rs.)**	**84.18**	**63.70**	**75.32**	**73.82**

I certify that these Financial Statements have been prepared and presented in compliance with the requirements of the Companies Act, No.07 of 2007.

Sgd.
Mrs. S.S. Kotakadeniya
Chief Financial Officer - LOLC Group

The board of directors is responsible for the preparation and the presentation of these Financial Statements.
Approved and signed for and on behalf of the Board;

Sgd.
Mr. I.C. Nanayakkara
Deputy Chairman
12th August 2016 Rajagiriya (Greater Colombo)

Sgd.
Mr. W.D.K. Jayawardena
Group Managing Director / CEO

Lanka Orix Leasing Company PLC
Income Statement

For the three month period ended 30 June	Group 2016 Rs. '000 Un-audited	Group 2015 Rs. '000 Un-audited Re-stated	Group Variance %	Company 2016 Rs. '000 Un-audited	Company 2015 Rs. '000 Un-audited	Company Variance %
Gross income	**19,442,672**	**14,388,365**	**35.13**	**1,658,272**	**865,872**	**91.51**
Interest income	11,809,879	8,157,551	44.77	668,706	284,873	134.74
Interest expense	(6,682,711)	(3,812,400)	75.29	(1,044,260)	(621,218)	68.10
Net interest income	**5,127,168**	**4,345,151**	**18.00**	**(375,554)**	**(336,345)**	**-**
Revenue	5,058,548	4,064,938	24.44	-	-	-
Less: cost of sales	(3,148,814)	(2,178,656)	44.53	-	-	-
Gross profit	**1,909,734**	**1,886,282**	**1.24**	**-**	**-**	**-**
Income	2,219,317	1,589,556	39.62	9,244	5,674	62.92
Other income/(expenses)	354,928	576,320	(38.41)	980,322	575,325	70.39
Profit before operating expenses	**9,611,147**	**8,397,309**	**14.46**	**614,012**	**244,654**	**150.97**
Operating expenses						
VAT on financial services	(422,692)	(223,588)	89.05	(10,570)	(5,496)	92.32
Other direct expenses excluding finance costs	(1,130,934)	(665,335)	69.98	(9,450)	(3,665)	157.84
Personnel costs	(2,939,187)	(2,519,688)	16.65	(122,156)	(33,937)	259.95
Net impairment (loss) / reversal on financial assets	(674,860)	(560,556)	20.39	1,217	(258)	(571.71)
Depreciation and amortization	(405,674)	(351,300)	15.48	(85,579)	(71,546)	19.61
Other operating expenses	(1,915,489)	(1,977,128)	(3.12)	(27,844)	(33,910)	(17.89)
Results from operating activities	**2,122,311**	**2,099,714**	**1.08**	**359,630**	**95,842**	**275.23**
Share of profits of equity accounted investees	1,046,664	577,046	81.38	-	-	-
Profit before income tax expense	**3,168,975**	**2,676,760**	**18.39**	**359,630**	**95,842**	**275.23**
Income tax expense	(763,910)	(626,798)	21.87	(84,332)	-	-
Profit for the period	**2,405,065**	**2,049,962**	**17.32**	**275,298**	**95,842**	**187.24**

Figures in brackets indicate deductions.

Statement of Other Comprehensive Income

For the three month period ended 30 June	Group 2016 Rs. '000 Un-audited	Group 2015 Rs. '000 Un-audited Re-stated	Group Variance %	Company 2016 Rs. '000 Un-audited	Company 2015 Rs. '000 Un-audited	Company Variance %
Profit for the period	**2,405,065**	**2,049,962**	**17.32**	**275,298**	**95,842**	**187.24**
Other comprehensive income						
Net change in fair value of available-for-sale financial assets	40,527	139,891	(71.03)	16,455	-	-
Net movement of cash flow hedges	(60,396)	14,222	(524.67)	-	(1,546)	(100.00)
Foreign currency translation differences for foreign operations	(23,560)	(70,238)	(66.46)	-	-	-
Other comprehensive income/ (expense) for the year, net of tax	**(43,429)**	**83,875**	**(151.78)**	**16,455**	**(1,546)**	**(1,164.36)**
Total comprehensive income for the year	**2,361,636**	**2,133,837**	**10.68**	**291,753**	**94,296**	**209.40**
Profit attributable to;						
Equity holders of the Company	2,337,383	1,850,590	26.30	275,298	95,842	187.24
Non-controlling interests	67,682	199,372	(66.05)	-	-	-
Profit for the period	**2,405,065**	**2,049,962**	**17.32**	**275,298**	**95,842**	**187.24**
Total comprehensive income attributable to;						
Equity holders of the Company	2,306,020	1,981,578	16.37	291,753	94,296	209.40
Non-controlling interests	55,616	152,259	(63.47)	-	-	-
Total comprehensive income for the year	**2,361,636**	**2,133,837**	**10.68**	**291,753**	**94,296**	**209.40**
Basic earnings per share	**4.92**	**3.89**	**26.30**	**0.58**	**0.20**	**187.24**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the three month period ended 30 June 2016

	Equity attibutable to the shareholders of the Company						
Company	**Stated Capital**	**Revaluation Reserve**	**Cash flow hedge Reserve**	**Fair Value Reserve on AFS**	**Future Taxation Reserve**	**Retained Earnings**	**Total**
	Rs. '000	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**
Balance as at 01 April 2015	**475,200**	**1,300,116**	**719**	**266,963**	**205,000**	**32,648,370**	**34,896,368**
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	95,842	**95,842**
Other comprehensive income							
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	-	86,399	-	-	**86,399**
Net movement of cash flow hedges	-	-	(1,546)	-	-	-	**(1,546)**
Total comprehensive income for the period	-	-	(1,546)	86,399	-	95,842	**180,695**
Balance as at 30 June 2015	**475,200**	**1,300,116**	**(827)**	**353,362**	**205,000**	**32,744,212**	**35,077,063**
Balance as at 01 April 2016	**475,200**	**1,283,286**	**-**	**165,032**	**205,000**	**33,372,915**	**35,501,433**
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	275,298	**275,298**
Other comprehensive income							
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	-	16,455	-	-	**16,455**
Total comprehensive income for the period	**-**	**-**	**-**	**16,455**	**-**	**275,298**	**291,753**
Balance as at 30 June 2016	**475,200**	**1,283,286**	**-**	**181,487**	**205,000**	**33,648,213**	**35,793,186**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the three month period ended 30 June 2016

Group	Equity Attributable to the Owners of the Company											
	Stated Capital	Revaluation Reserve	Cash flow hedge Reserve	Fair Value Reserve on AFS	Translation Reserve	Future Taxation Reserve	Statutory Reserve Fund	Investment Fund	Retained Earnings	Total	Non-controlling Interests	Total Equity
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance as at 01 April 2015 - Restated	**475,200**	**2,932,415**	**(102,894)**	**244,963**	**327,120**	**205,000**	**1,697,783**	**-**	**22,454,099**	**28,233,686**	**27,853,620**	**56,087,306**
Total comprehensive income for the period												
Profit for the period	-	-	-	-	-	-	-	-	1,850,590	**1,850,590**	199,372	**2,049,962**
Other comprehensive income												
Net change in fair value of available-for-sale financial assets	-	-	-	136,650	-	-	-	-	-	**136,650**	3,241	**139,891**
Net movement of cash flow hedges	-	-	40,496	-	-	-	-	-	-	**40,496**	(26,274)	**14,222**
Foreign currency translation differences for foreign operations	-	-	-	-	(46,158)	-	-	-	-	**(46,158)**	(24,080)	**(70,238)**
Total comprehensive income for the period	**-**	**-**	**40,496**	**136,650**	**(46,158)**	**-**	**-**	**-**	**1,850,590**	**1,981,578**	**152,259**	**2,133,837**
Depreciation transfer on revaluation	-	(84)	-	-	-	-	-	-	84	**-**	-	**-**
Share issue cost of subsidiairy companies	-	-	-	-	-	-	-	-		**-**	-	**-**
Reserve transfers	-	-	-	-	-	-	(200,284)	-	200,284	**-**	-	**-**
Dividends paid to non-controlling interests	-	-	-	-	-	-	-	-	-	**-**	(88,795)	**(88,795)**
Acquisition of non-controlling interests	-	-	-	-	-	-	-	-	65,964	**65,964**	(292,703)	**(226,739)**
Changes in group holdings that do not result in change in controlling stake	-	-	-	-	-	-	-	-	(10,815)	**(10,815)**	(18,022)	**(28,837)**
Balance as at 30 June 2015	**475,200**	**2,932,331**	**(62,398)**	**381,613**	**280,962**	**205,000**	**1,497,499**	**-**	**24,560,206**	**30,270,413**	**27,606,359**	**57,876,772**
Balance as at 31 March 2016	**475,200**	**3,434,184**	**218,242**	**(1,105,365)**	**929,775**	**205,000**	**1,754,359**	**-**	**31,786,984**	**37,698,379**	**28,677,846**	**66,376,225**
Total comprehensive income for the period												
Profit for the period	-	-	-	-	-	-	-	-	2,337,383	**2,337,383**	67,682	**2,405,065**
Other comprehensive income												
Net change in fair value of available-for-sale financial assets	-	-	-	35,251	-	-	-	-	-	**35,251**	5,276	**40,527**
Net movement of cash flow hedges	-	-	(55,998)	-	-	-	-	-	-	**(55,998)**	(4,398)	**(60,396)**
Foreign currency translation differences for foreign operations	-	-	-	-	(10,616)	-	-	-	-	**(10,616)**	(12,944)	**(23,560)**
Total comprehensive income for the period	**-**	**-**	**(55,998)**	**35,251**	**(10,616)**	**-**	**-**	**-**	**2,337,383**	**2,306,020**	**55,616**	**2,361,636**
Reserve transfers	-	-	-	-	-	-	140,552	-	(140,552)	**-**	-	**-**
Dividends paid to non-controlling interests	-	-	-	-	-	-	-	-	-	**-**	(109,551)	**(109,551)**
Adjustments due to changes in group holdings and other consolidation adjustments	-	-	-	-	-	-	-	-	(337)	**(337)**	75,288	**74,951**
Balance as at 30 June 2016	**475,200**	**3,434,184**	**162,244**	**(1,070,114)**	**919,159**	**205,000**	**1,894,911**	**-**	**33,983,478**	**40,004,062**	**28,699,199**	**68,703,261**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Cash Flows

For the three month period ended 30 June	Group 2016 (Rs.)	Group 2015 (Rs.)	Company 2016 (Rs.)	Company 2015 (Rs.)
CASH FLOW FROM OPERATING ACTIVITIES				
Profit before income tax expense	3,168,975	2,676,760	359,630	95,842
Adjustment for:				
(Gain) / loss on sale of property, plant and equipment	(16,161)	(72,619)	(16,161)	(75,619)
Depreciation and amortization	405,674	351,300	85,579	71,546
Insurance provision	772,844	196,775	-	-
Change in fair value of forward contracts	(7,608)	(31,419)	-	-
Provision for gratuity	49,445	36,298	8,400	7,500
Net impairment (loss) / reversal on financial assets	674,860	560,556	(1,217)	258
Provision for fall/(increase) in value of investments	(117,022)	(114,344)	(37,990)	(74,598)
Investment Income	(925,490)	(424,413)	(130,082)	(106,172)
Net finance costs	7,216,138	3,808,994	1,044,260	621,218
(Profit)/loss on sale of quoted and non-quoted shares	-	(19,244)	-	-
Share of profits of equity accounted investees	(1,046,664)	(577,046)	-	-
Gains on disposal of subsidiaries	-	(3,235)	-	-
Operating profit before working capital changes	**10,174,991**	**6,388,363**	**1,312,419**	**539,975**
Working capital changes				
Increase/(decrease) in trade and other payables	3,013,557	1,001,664	(295,129)	(799,158)
(Increase)/decrease in investment in leases, hire purchase and others	(465,835)	(4,522,518)	88	1,414
(Increase)/decrease in investment in advances and other loans	(11,792,749)	(10,175,119)	(118,186)	404,340
(Increase)/decrease in premium receivables	(4,676)	(43,517)	-	-
(Increase)/decrease in inventories	(59,296)	(521,199)	-	-
(Increase)/decrease in trade and other receivables	(374,723)	460,963	(5,662,181)	(6,113,253)
(Increase)/decrease in customer deposits	4,216,864	4,554,390	-	-
Cash generated from operations	**4,708,133**	**(2,856,973)**	**(4,762,989)**	**(5,966,682)**
Finance cost paid	(7,090,999)	(3,069,205)	(955,283)	(718,472)
Income tax and Economic Service Charge paid	(119,694)	(181,129)	-	(1,525)
Defined benefit plan costs paid	(60,501)	(32,384)	(2,188)	(460)
Net cash from/(used in) operating activities	**(2,563,061)**	**(6,139,691)**	**(5,720,460)**	**(6,687,139)**
CASH FLOW FROM INVESTING ACTIVITIES				
Investment in subsidiary companies	-	-	-	-
Net cash and cash equivalents on disposal of a subsidiary	-	2,440	-	-
Investment in equity accounted investees	-	(65,824)	-	(65,824)
Acquisition of non-controlling interests	-	(226,739)	-	-
Acquisition of property, plant and equipment	(2,462,433)	(877,256)	(171,639)	(145,241)
Acquisition / (Disposal) of intangible assets	(67,764)	13,889	(35,402)	8,586
Net additions to trading assets	(1,873,523)	295,357	1,702	-
Net additions to investment securities	1,292,885	(1,819,409)	104,405	(84,453)
Proceeds from the sale of property, plant and equipment	27,279	73,214	27,279	73,214
Interest received	925,490	382,069	-	-
Dividend received	190,833	152,678	130,082	106,172
Net additions to biological asstes	(59,222)	(69,610)	-	-
Net cash flow from investing activities	**(2,026,455)**	**(2,139,191)**	**56,427**	**(107,546)**
CASH FLOW FROM FINANCING ACTIVITIES				
Net cash proceeds from short-term interest bearing loans and borrowings	5,536,942	7,393,225	7,011,677	7,457,780
Principal repayment under finance lease liabilities	(136,013)	(26,476)	(31,190)	(22,728)
Proceeds from long-term interest bearing loans and borrowings	3,397,114	7,123,723	-	-
Repayments of long-term interest bearing loans and borrowings	(2,944,965)	(4,673,503)	(75,902)	(1,387,897)
Dividends paid to non-controlling interests	(109,551)	(88,795)	-	-
NCI contribution to subsidiary share issues	44,678	-	-	-
Net cash generated from financing activities	**5,788,205**	**9,728,174**	**6,904,585**	**6,047,155**
Net increase/(decrease) in cash and cash equivalents during the year	1,198,689	1,449,292	1,240,552	(747,530)
Cash and cash equivalents at the beginning of the year	4,423,484	1,815,842	(3,291,182)	(125,067)
Cash and cash equivalents at the end of the year	**5,622,173**	**3,265,134**	**(2,050,630)**	**(872,597)**
Analysis of cash and cash equivalents at the end of the year				
Cash in Hand and Favorable Bank Balances	13,415,030	10,974,976	194,852	120,283
Unfavorable Bank Balances used for cash management purposes	(7,792,857)	(7,709,842)	(2,245,482)	(992,880)
	5,622,173	**3,265,134**	**(2,050,630)**	**(872,597)**

1 The Statement of Financial Position as at 30 June 2015, Income Statement, Statement of Comprehensive Income, Statement of Cash Flows and Statement of Changes in Equity of the Company and the Group for the three month period ended thereof are drawn up from unaudited financial statements of the Company, its subsidiaries, associates and joint ventures and provide information as required by the Colombo Stock Exchange and LKAS 34. Further, provisions of the Companies Act No.7 of 2007 has been considered in preparing the said financial statements of the Company and of the Group.

2 Accounting policies and methods of computation as stated in the Financial Statements for 2015/16 are followed in the preparation of these Interim Financial Statements.

3 Revenue includes revenue from trading, manufacturing, leisure, plantation and other activities of the Group.

4 Interest income and income represent the income receivable for the period on all contracts, rentals on operating leases, income on factoring of client debtors, earned premium on insurance contracts and IT service fees. It includes all income related to operations such as interest on overdue rentals, profit/loss on leases and loans terminated and collections on contracts written off.

5 Other income / (expenses) includes foreign exchange gains / (losses), realized capital gains, capital gains and losses arising from marked to market valuation of quoted shares held for trading purposes, rent income and dividend.

6 All expenses related to management expenditure is fully provided for in the financial statements.

7 There are no significant changes in the nature of the contingent liabilities disclosed in the Financial Statements for the year ended 31 March 2016.

8 No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the financial statements other than disclosed as follows.

8.1 Acquisition of Agalawatte Plantations PLC

In July 2016, Browns Power Holdings (Pvt) Ltd, a subsidiary of the Group acquired the controlling interest of Agalawatte Plantations PLC by purchasing 15.2 Mn voting shares (60.80%) for a consideration of Rs. 304 Mn.

8.2 Divestment of Browns Hydro Power PLC

The Group divested its controlling stake (72.13%) in Browns Hydro Power PLC for a consideration of Rs. 550 Mn.

8.3 Establishment of a multicurrency medium term note program to issue foreign currency denominated corporate notes/bonds

The Company has identified the issue of corporate notes/ bonds under a Multicurrency Medium Term Note Programme as a viable source of funding. Accordingly, the Company intends to establish a Multicurrency Medium Term Note Programme on the Singapore Stock Exchange and issue foreign currency denominated notes/bonds for SGD 175Mn or USD 150Mn thereunder. These notes/bonds will also be listed on the Singapore Stock Exchange. The proposed date of the registration of the Multicurrency Medium Term Programme on the Singapore Stock Exchange is 08th August 2016. Notes/bonds will not be issued on this date.

9 Market prices of ordinary shares recorded during the quarter ended 30th June 2016 are as follows;

	Rs.
Closing price	78.00
Highest Price	93.00
Lowest Price	71.10

10 Information on Company's listed debentures

10.1 Interest rate of comparable government security

Buying and Selling prices of Treasury Bonds at the auction held on 29 June 2016

	Buying	Selling
4 Year Bond		
Price	89.83	90.91
Yield	12.50%	12.13%
5 Year Bond		
Price	86.60	87.52
Yield	12.65%	12.38%

10.2 Market prices and yield during the period (ex interest)

	4 Year Bond	5 Year Bond
Price	90.35	87.02
Yield	12.32%	12.52%

Debt to equity	1.28	times
Interest cover	1.34	times
Quick asset ratio	1.21	times

11 Backed to backed deposits details

	As at 30 June 2016
	Rs. '000
Back to back deposits on foreign funding	259,810
Interest income earned on back to back deposits	30,497,083

12 Group Portfolio information

	As at 30 June 2016
	Rs. '000
Gross portfolio	229,251,587
Non-performing portfolio > 6 months	5,548,842
Allowance for non-performing portfolio	4,885,098

13 Early Adoption of Amendments to LKAS 16 and LKAS 41 (Agriculture : Bearer Plants)

Pursuant to the amendments on Agriculture: Bearer Plants (Amendments to LKAS 16 and LKAS 41), issued in March 2015 by The Institute of Chartered Accountants of Sri Lanka amended paragraphs 3, 6 and 37, added paragraphs 22A and 81L–81M of LKAS 16, amended paragraphs 1–5, 8, 24 and 44, added paragraphs 5A–5C and 63 of LKAS 41. An entity shall apply those amendments for annual periods beginning on or after 1 January 2016 and permitted early adoption. Consequently the Group has decided to early adopt the said amendments and chose to change its existing accounting policies on Bearer Plants under Historical Cost Model in compliance with the LKAS 16.

The impact on the early adoption to the group financial statements explained below;

Effect on Total Comprehensive Income

For the Quarter Ended	Group		
			30-Jun-15
	Rs.'000	**Rs.'000**	**Rs.'000**
	As Previously Reported	**Re-measurement**	**As Per Amendments**
Gross income	**13,812,045**	**-**	**13,812,045**
Interest expenses	8,157,551	-	8,157,551
Interest expenses	(3,812,400)	-	(3,812,400)
Net interest income	**4,345,151**	**-**	**4,345,151**
Revenue	4,064,938	-	4,064,938
Cost of sales	(2,178,656)	-	(2,178,656)
Gross profit	**1,886,282**	**-**	**1,886,282**
Income	1,589,556	-	1,589,556
Other income/(expenses)	566,490	9,830	576,320
Profit before operating expenses	**8,387,479**	**9,830**	**8,397,309**
Operating expenses			
VAT on financial services	(223,588)	-	(223,588)
Other direct expenses excluding finance costs	(665,335)	-	(665,335)
Personnel costs	(2,519,688)	-	(2,519,688)
Net impairment loss on financial assets	(560,556)	-	(560,556)
Depreciation and amortization	(329,843)	(21,457)	(351,300)
Other operating expenses	(1,977,128)	-	(1,977,128)
Results from operating activities	**2,111,341**	**(11,627)**	**2,099,714**
Share of profits of equity accounted investees	577,046	-	577,046
Profit before income tax expense	**2,688,387**	**(11,627)**	**2,676,760**
Income tax expense	(624,484)	(2,314)	(626,798)
Profit for the year	**2,063,903**	**(13,941)**	**2,049,962**
Profit attributable to;			
Equity holders of the Company	1,851,445	(855)	1,850,590
Non-controlling interests	212,458	(13,086)	199,372
	2,063,903	**(13,941)**	**2,049,962**
Basic earnings per share (Rs.)	**3.90**	**(0.00)**	**3.89**

Figures in brackets indicate deductions

Early Adoption of Amendments to LKAS 16 and LKAS 41 (Agriculture : Bearer Plants) - Contd.

Effect on Statement of Financial Position — **As at 30 June 2015**

Statement of Financial Position	**Previously Reported Rs.' 000**	**Re-measurement Rs.' 000**	**Restated Rs.' 000**
Assets			
Cash and cash equivalents	10,974,976	-	10,974,976
Trading assets - fair value through profit or loss	925,428	-	925,428
Investment securities	20,280,807	-	20,280,807
Finance lease receivables, hire	45,450,902	-	45,450,902
Advances and other loans	108,546,605	-	108,546,605
Insurance premium receivables	645,616	-	645,616
Inventories	2,354,871	-	2,354,871
Current tax assets	319,653	-	319,653
Trade and other current assets	9,196,375	-	9,196,375
Prepaid lease rentals on leasehold properties	476,330	-	476,330
Investment properties	9,068,166	-	9,068,166
Real estate stocks	-	-	-
Biological Assets;		-	-
Consumer biological assets	6,375,443	-	6,375,443
Bearer plants	5,863,285	(1,162,510)	4,700,775
Investments in group companies;		-	-
Subsidiary companies	-	-	-
Jointly controlled entities	-	-	-
Equity accounted investees - Associates	15,600,386	-	15,600,386
Deferred tax assets	386,608	-	386,608
Intangible assets	2,214,348	-	2,214,348
Property, plant and equipment	27,146,897	-	27,146,897
Total assets	**265,826,696**	**(1,162,510)**	**264,664,186**
Liabilities and equity			
Liabilities			
Bank overdrafts	7,709,842	-	7,709,842
Trading liabilities - fair value through profit or loss	46,081	-	46,081
Deposits liabilities	55,141,629	-	55,141,629
Interest bearing borrowings	123,673,914	-	123,673,914
Insurance provision - life	883,804	-	883,804
Insurance provision - general	1,683,480	-	1,683,480
Current tax payables	1,764,774	-	1,764,774
Trade and other payables	9,598,656	-	9,598,656
Deferred tax liabilities	3,264,732	(104,809)	3,159,923
Deferred income	466,962	136,686	603,648
Retirement benefit obligations	2,521,663	-	2,521,663
Total liabilities	**206,755,537**	**31,877**	**206,787,414**
Equity			
Stated capital (475,200,000 shares)	475,200	-	475,200
Reserves	5,235,007	-	5,235,007
Retained earnings	24,820,028	(259,822)	24,560,206
Equity attributable to shareholders of the Company	**30,530,235**	**(259,822)**	**30,270,413**
Non-controlling interests	28,540,924	(934,565)	27,606,359
Total equity	**59,071,159**	**(1,194,387)**	**57,876,772**
Total liabilities & equity	**265,826,696**	**(1,162,510)**	**264,664,186**

Figures in brackets indicate deductions

Lanka Orix Leasing Company PLC
Valuation of Financial Assets and Liabilities

Rs'000

As at 30 June 2016 - Group	Fair value - derivatives	Fair value - held for trading	Fair value through other comprehensive income - available for sale	Amortised cost / Not measured at fair value	Total carrying amount	Fair value	Fair value measurement level
Trading assets - fair value through profit or loss	-	4,388,092	-	-	**4,388,092**	**4,388,092**	Level 1 and Level 2
Investment securities	-	-	8,626,913	51,072,169	**59,699,082**	**59,699,082**	Level 1 and Level 2
Finance lease receivables, hire purchases and operating	-	-	-	51,872,314	**51,872,314**	**51,332,842**	Level 3
Advances and other loans	-	-	-	172,494,175	**172,494,175**	**171,378,138**	Level 3
Total financial assets	**-**	**4,388,092**	**8,626,913**	**275,438,658**	**288,453,663**	**286,798,154**	
Trading liabilities - fair value through profit or loss	75,192	-	-	-	**75,192**	**75,192**	Level 1
Deposits liabilities	-	-	-	78,382,596	**78,382,596**	**78,852,892**	Level 3
Interest bearing borrowings	-	-	-	211,744,396	**211,744,396**	**213,014,862**	Level 3
Total financial liabilities	**75,192**	**-**	**-**	**290,126,992**	**290,202,184**	**291,942,946**	

As at 31st March 2016 - Group	Fair value - derivatives	Fair value - held for trading	Fair value through other comprehensive income - available for sale	Amortised cost / Not measured at fair value	Total carrying amount	Fair value	Fair value measurement level
Trading assets - fair value through profit or loss	-	2,397,547	-	-	**2,397,547**	**2,397,547**	Level 1 and Level 2
Investment securities	-	-	11,092,834	49,858,606	**60,951,440**	**59,332,190**	Level 1 and Level 2
Finance lease receivables, hire purchases and operating	-	-	-	51,666,748	**51,666,748**	**51,056,981**	Level 3
Advances and other loans	-	-	-	161,116,017	**161,116,017**	**161,486,583**	Level 3
Total financial assets	**-**	**2,397,547**	**11,092,834**	**262,641,371**	**276,131,752**	**274,273,301**	
Trading liabilities - fair value through profit or loss	17,859	-	-	-	**17,859**	**17,859**	Level 1
Deposits liabilities	-	-	-	74,165,732	**74,165,732**	**72,562,994**	Level 3
Interest bearing borrowings	-	-	-	205,774,163	**205,774,163**	**204,361,672**	Level 3
Total financial liabilities	**17,859**	**-**	**-**	**279,939,895**	**279,957,754**	**276,942,525**	

For the cash and cash equivalents, short term receivables and payables, the fair value reasonably approximates its costs.

Lanka Orix Leasing Company PLC
Operating Segments

For the three month period ended 30 June 2016	Financial services	Life & general insurance	Manufacturing & trading	Leisure & entertainment	Plantation & renewable energy	Equity accounted investees	Others & eliminations	Total
	Rs. '000	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**
Gross income	15,626,907	1,239,467	3,535,966	428,155	1,485,702	-	(2,340,098)	**19,976,099**
Finance costs	(7,455,261)	-	(262,870)	(156,898)	(113,659)	-	772,550	**(7,216,138)**
Cost of sales	-	-	(2,534,167)	(229,545)	(389,911)	-	4,809	**(3,148,814)**
Profit before operating expenses	**8,171,646**	**1,239,467**	**738,929**	**41,712**	**982,132**	**-**	**(1,562,739)**	**9,611,147**
Operating expenses	(5,351,029)	(1,221,357)	(869,374)	(304,999)	(996,245)	-	1,254,168	**(7,488,836)**
Results from operating activities	**2,820,617**	**18,110**	**(130,445)**	**(263,287)**	**(14,113)**	**-**	**(308,571)**	**2,122,311**
Share of profits of equity accounted investees	-	-	-	-	-	1,046,664	-	**1,046,664**
Profit before taxation	**2,820,617**	**18,110**	**(130,445)**	**(263,287)**	**(14,113)**	**1,046,664**	**(308,571)**	**3,168,975**
For the three month period ended 30 June 2015								
Gross income	10,203,573	778,208	2,795,621	203,988	1,443,708	-	(1,040,139)	14,384,959
Finance costs	(3,812,400)	-	(159,820)	(92,381)	(71,431)	-	327,038	(3,808,994)
Cost of sales	-	-	(1,875,483)	(44,539)	(696,661)	-	1,705	(2,614,978)
Profit before operating expenses	**6,391,173**	**778,208**	**760,318**	**67,068**	**675,616**	**-**	**(711,396)**	**7,960,987**
Operating expenses	(4,094,305)	(718,938)	(659,026)	(253,318)	(718,351)	-	582,665	(5,861,273)
Results from operating activities	**2,296,868**	**59,270**	**101,292**	**(186,250)**	**(42,735)**	**-**	**(128,731)**	**2,099,714**
Share of profits of equity accounted investees	-	-	-	-	-	577,046	-	577,046
Profit before taxation	**2,296,868**	**59,270**	**101,292**	**(186,250)**	**(42,735)**	**577,046**	**(128,731)**	**2,676,760**

For the three month period ended 30 June 2016	Financial services	Life & general insurance	Manufacturing & trading	Leisure & entertainment	Plantation & renewable energy	Equity accounted investees	Others & eliminations	Total
	Rs. '000	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**
Net impairment (loss) / reversal on financial assets	674,860	-	-	-	-	-	-	**674,860**
Depreciation and amortization	175,573	11,127	67,978	68,097	79,835	-	82,899	**485,509**
Total assets (as at 30 June 2016)	371,241,704	7,607,063	27,593,672	29,149,621	19,564,584	-	(41,001,788)	**414,154,856**
Total liabilities (as at 30 June 2016)	320,299,065	5,215,640	12,316,679	8,840,089	8,429,777	-	(20,784,462)	**334,316,788**
For the three month period ended 30 June 2015								
Net impairment (loss) / reversal on financial assets	557,052	3,504	-	-	-	-	-	**560,556**
Depreciation and amortization	127,218	7,147	71,719	56,726	57,865	-	88,490	**409,165**
Total assets (as at 30 June 2015)	237,394,381	5,373,973	24,338,772	23,195,430	18,728,880	-	(25,638,370)	**283,393,066**
Total liabilities (as at 30 June 2015)	194,311,365	3,142,262	11,763,202	6,535,819	7,120,593	-	(8,965,234)	**213,908,007**

Lanka Orix Leasing Company PLC

Statement of Directors' holding and Chief Executive Officer's holding in shares of the Company as at 30th June 2016

Directors Name	No of shares	%
Mr. R M Nanayakkara *Chairman*	172,492,292	36.299
Mr. I C Nanayakkara *Deputy Chairman*	59,895,500	12.604
Mr. W D K Jayawardena *Managing Director / Group CEO*	-	-
Deshamanya M D D Pieris	-	-
Mr. R A Fernando	12,600	0.003
Mrs. K U Amarasinghe	23,760,000	5.000
Mr. H Yamaguchi	-	-
Mr. H Nishio	-	-
Mr. K Okuno (Alternate Director to Mr H Nishio)	-	-

Top 20 shareholders as at 30th June 2016

	Shareholder	No. of Shares	% of Issued Capital
1	Mr. R M Nanayakkara	172,492,292	36.299
2	Orix Corporation	142,560,000	30.000
3	Mr. I C Nanayakkara	59,895,500	12.604
4	Mrs. K U Amarasinghe	23,760,000	5.000
5	Employees Provident Fund	15,182,259	3.195
6	HSBC Intl Nom Ltd - BBH - Mathews International Funds	12,121,473	2.551
7	Dr. R R De Silva	7,602,599	1.600
8	HSBC Intl Nom Ltd - State Street Luxembourg C/O SSBT-ABN	6,937,775	1.460
9	Mrs. I Nanayakkara	2,827,948	0.595
10	Employees Trust Fund Board	2,740,493	0.577
11	Mr. M Radhakrishnan	1,500,000	0.316
12	HSBC - Mr. R C De Silva	1,150,000	0.242
13	Mr. G G Ponnambalam	1,044,960	0.220
14	Dr M Ponnambalam	1,044,960	0.220
15	Swastika Mills Ltd	1,006,800	0.212
16	Mrs. S N Fernando	818,440	0.172
17	Mr. S Nadesan	660,000	0.139
18	National Savings Bank	606,900	0.128
19	Confifi Management Services (Pvt) Ltd	600,000	0.126
20	HSBC - Matthews Emerging Asia Fund	573,466	0.121
		455,125,865	**95.776**

The Public Sharehoding as at 30th June 2016 was 15.49 comprising of 3,050 shareholders.